

## 22STCV20465 22STCV20465

County: los-angeles

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Case Number: 22STCV20465 Hearing Date: July 13, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

ROSA

STEPHENSON, et al.,

Plaintiffs,

vs.

POMONA

HEALTHCARE & WELLNESS CENTER, LLC, et al.,

Defendants.

Case No.:

22STCV20465

Hearing

Date:

July 13, 2026

## ORDER

### DENYING MOTION FOR SUMMARY JUDGMENT

#### I. BACKGROUND

Defendants, as individuals and alter egos of one another, allegedly neglected to provide adequate care to Plaintiff Rosa Stephenson ("Stephenson"), a resident of Defendants' long-term custodial care facility. As a result of the alleged neglect, Stephenson developed pressure sores, which Defendants inappropriately treated; development and treatment of the pressure sores allegedly contributed to Stephenson's eventual death. Plaintiff Penny Lyle ("Lyle"), on behalf of Stephenson and as Stephenson's Successor-In-Interest, sues Defendants for elder abuse, negligent hiring and supervision, violation of patient's bill of rights, and wrongful death.

On October 4, 2024, Defendants Shlomo Rechnitz ("Rechnitz") and Brius Management Co. ("Brius") (collectively "Moving Defendants") filed the instant motion for summary judgment, or, in the alternative, summary adjudication. Plaintiffs opposed. Moving Defendants replied.

#### II. OBJECTIONS

Plaintiffs request the Court rule on objections concerning Moving Defendants' evidence. The Court sustains the sole objection.

Moving Defendants request the Court rule on objections concerning Plaintiffs' evidence. The Court sustains objection 20. All other objections are overruled.

#### III. JUDICIAL NOTICE

Plaintiffs request the Court take judicial notice of certain documents. The Court GRANTS judicial notice as to all requested documents.

#### IV. LEGAL STANDARD

A party may move for summary judgment "if it is contended that the action has no

merit or that there is no defense to the action or proceeding.” (Code Civ. Proc. § 437c, subd. (a).[1]) “[I]f all the evidence submitted, and all

inferences reasonably deducible from the evidence and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law,” the moving party will be entitled to summary judgment. (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.)

The

moving party bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact, and if he does so, the burden shifts to the opposing party to make a prima facie showing of the existence of a triable issue of material fact. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850, citing to § 437c, subd. (p)(2).) To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.)

As

to each claim as framed by the complaint, the defendant moving for summary judgment must satisfy the initial burden of proof by presenting facts to negate an essential element, or to establish a defense. (§ 437c, subd. (p)(2); Scalf v. D. B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1520.) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.)

Neither

a moving nor responding party may rely on the mere allegations or denials of its pleadings. A moving party must submit specific admissible evidence showing that the responding party cannot establish at least one element of his, her or its cause of action or defense. The responding party, to defeat the motion, must submit specific admissible evidence showing that a triable issue of material fact does exist as to that element of the cause of action or defense. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.)

The

“Golden Rule” on a motion for summary judgment or summary adjudication is that “if [a fact] is not set forth in the separate statement, it does not exist.” (Zimmerman, Rosenfeld, Gersh & Leeds LLP v. Larson (2005) 131 Cal.App.4th 1466, 1477, citing United Community

Church v. Garcin (1991) 231 Cal.App.3d 327, 337.)

## V. DISCUSSION

Moving Defendants request the Court grant summary judgment as to the entire complaint, as Moving Defendants were not Stephenson's care custodians, owed no duty of care to Stephenson, and did not engage in, authorize, or ratify any reckless, malicious, or oppressive conduct towards plaintiff Stephenson. To prevail on a motion for summary judgment, the moving party must demonstrate there exists no triable issues of material fact; this is established by showing one or more elements of a cause of action cannot be established or by proving there is a complete defense to the cause of action. (§ 437c, subd. (p)(2).)

### A. Statement of Facts

Stephenson was a resident of Defendant Pomona Healthcare & Wellness Center, LLC ("Pomona") from June 9, 2020, to March 4, 2022. (UMF 1.) Rockport Administrative Services, LLC ("Rockport") provided administrative and consulting services to the Pomona.

Rechnitz is the CEO, President, shareholder and director of Buius, a holding company and the limited liability company manager of Pomona at all relevant times. (UMF 3-4.) Rechnitz has never been employed by or acted as a member of a governing body of Pomona. (UMF 5-6.) Rechnitz had no knowledge or involvement of Pomona's operations, administration, services, staffing, budget, hiring, supervision, or personnel, at any point relevant to the complaint. (UMF 15-18.)

No officer, director, employee, or agent of Buius has ever been an employee or member of a governing body of Pomona. (UMF 10-11.) No officer, director, employee, or agent of Buius had knowledge or involvement of Pomona's operations, administration, services, staffing, budget, hiring, supervision, or personnel, at any point relevant to the complaint. (UMF 19-21.)

Neither Rechnitz nor any officer, director, employee, or agent of Buius has ever been a member, controlling party, or owner of Rockport. (UMF 8-9, 12-14, 24-25.) Rockport has never had a right to control

Pomona or Brius. (UMF 23.) There has never been an agreement to share profits and losses between Pomona and Rockport, Rechnitz and Rockport, or Brius and Rockport. (UMF 26-28.)

Plaintiffs bring suit in this action against Defendants as alter egos of one another, based upon commingled funds, personal liability, insufficient corporate records, insufficient capitalization, disregarding of legal formalities, diverted assets, shell corporations, participation in a common venture, equitable ownership, common controlling party, same business locations, pooling of assets and revenues, and jointly beneficial transactions. (FAC, p. 5-6, ¶¶ 17-18.) All causes of action are, in part, based upon this alter ego relationship conferring liability onto Defendants other than Pomona.

B. Duty  
/ Alter Ego

Moving Defendants argue summary judgment is appropriate for all causes of action as Moving Defendants had no duty of care to Stephenson under any cause of action. When moving for summary judgment, the moving party must address each claim as framed by the complaint by presenting facts to negate an essential element, or to establish a defense. (§ 437c, subd. (p)(2); Scalf v. D. B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1520.) As the complaint specifically alleges Moving Defendants are liable for the actions of all other defendants under a theory of alter ego liability, the Court reviews Moving Defendants' argument under this framework.

Moving Defendants argue Pomona, at all relevant times, was solely responsible for management and operation of the facility. This would include all care for Stephenson. Moving Defendants, by contrast, had no control over Pomona's operations or administration, and therefore had no duty to Stephenson to protect her from the alleged harm. Moving Defendants' argument only potentially meets the summary judgment burden if Moving Defendants are not alter egos of Pomona, as alleged in the FAC. While Moving Defendants do not ever explicitly address alter ego liability, Moving Defendants provide applicable evidence via the Declaration of Shlomo Rechnitz.

In order to determine if a corporation or individual is an

alter ego of another organization, the Court reviews an array of factors: comingling of assets, use of corporate assets as personal funds, failure to issue stock, the holding out an individual that they are personally liable for the debts of the corporation, the failure to maintain minutes, sole ownership in a corporation by one individual or family, the use of the same office, identical equitable ownership of two entities, the use of the same office or business location, employment of the same employees or attorney, the failure to adequately capitalize a corporation, the absence of corporate assets, use of a corporation as a mere shell for a single venture, concealment of ownership or management, disregard of legal formalities, and the formation of the entity to transfer existing liability, among others. (Associated Vendors, Inc. v. Oakland Meat Co., 210 Cal.App.2d 806, 838-840.)

Rechnitz attested neither he nor any agent of Brius has ever been employed or acted as a member of a governing board of Pomona. Rechnitz attested he had no knowledge of Pomona's operations, administration, caregiving, staffing, budget or personnel. Rechnitz also declared no agent of Brius had any involvement in Pomona's operations, administration, caregiving, staffing, budget or personnel.

No evidence was offered addressing comingling of assets, improper use of assets, stock issuance, personal liability, adherence to corporate formalities, ownership stakes, office addresses, employment, capitalization, corporate assets, shell corporations, concealment of ownership, adherence to legal formalities, or any other potentially relevant information. Based upon the information presented, the Court cannot find, as a matter of law, Rechnitz and Brius were not alter egos of Pomona, as alleged in the complaint.

Additionally, Plaintiffs' opposition presents evidence in support of finding alter ego relationships. Rechnitz and Rechnitz's wife solely own Pomona and the two other entities who own Pomona, including Brius. (PUMF 29.) Rechnitz, via his right to control Pomona, appointed Pomona's governing body to control operations. (PUMF 43.) However, Rechnitz routinely monitored Pomona's operations, financial status and staffing. (PUMF 45.) Rechnitz has authority to override the board and has previously done so. (PUMF 47-49.) Brius also routinely failed to follow corporate formalities, such as the appointment of officers, conducting of meetings, and maintaining minutes and record. (PUMF 64.)

Rechnitz's other owned properties also demonstrate evidence of alter ego liability. All relevant entities, other than Pomona, utilize the same business location for their

principal location, and all have the same attorney. (PUMF 34-35.) Pomona paid rent to ASMR, LLC, who is solely managed by Rechnitz's company SYTR Real Estate Holdings, LLC. (PUMF 74-75.) Pomona's rent during the relevant times was 65% greater than the average lease of other comparable skilled nursing facilities in Los Angeles County, potentially indicating Rechnitz of engaging in self-dealing via the heavily increased rent. (PUMF 77-79.) Rechnitz's SR Capital, LLC, provides funding and loans to Pomona for operating expenses; Plaintiffs assert this is done to allow Rechnitz to move money in and out of Pomona, while also charging Pomona interest. (PUMF 65.) In December of 2021 Pomona owed \$14,140.982 in payables to Rechnitz's other corporations. (PUMF 82-85.) These expenses were 41% more than those incurred by the average skilled nursing facility in California. (PUMF 91.) Rechnitz personally obtained funds from these facilities; in 2021 Rechnitz received \$16,690,000.00 from SR Capital, LLC. (PUMF 73.)

Based upon the evidence presented, the Court finds there is dispute as to whether Schlomo and Brius are alter egos of Pomona. Moving Defendants allege, in their moving papers, Pomona was solely responsible for the operation and control of the facility, therefore having the sole duty of care to Stephenson. Therefore, if Moving Defendants are the alter egos of Pomona, Moving Defendants similarly have a duty of care to Stephenson.

Absent a showing Moving Defendants had no duty of care to Stephenson, the Court cannot find any cause of action is subject to summary judgment. Moving Defendants made no argument that summary judgment is warranted beyond their lack of duty/obligation to Stephenson. As there is dispute as to material fact as to Moving Defendants' alter ego status, and obligation to Stephenson, the Court denies summary judgment in full.

## VI. CONCLUSION

Defendants

Shlomo Rechnitz and Brius Management Co.'s motion for summary judgment is DENIED.

Plaintiffs are to give notice.

DATED:

July 13, 2026

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Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.
- If a party intends to submit on this tentative ruling, the party must send an email to the court at [email protected] with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.
- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.
- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

[1] Undesignated

statutory references are to the Code of Civil Procedure.